

You don't have to fly around the world to meet prospective clients or be seen schmoozing at pricey conferences. You don't need an expensive office (spectacular views required) filled with modern furniture and pricey art. You don't have to build an impressive research department along with legal and compliance personnel. You don't need a multinational accounting team to deal with your global tax headaches.

4. Time

Being able to think long term is a luxury that professionals do not enjoy. You can have a much, much longer time horizon. Daily, weekly, or monthly volatility doesn't matter to you.³⁹⁹

That last 15% correction? The pros were pulling their few remaining hairs out, missing the initial drop, and/or not being positioned to take advantage of the recovery. And that happens every time the market moves more than a few percent in either direction.

It is a huge advantage not to worry about every zig and zag. A quarter to an amateur is merely one-fourth of the year, not a measuring stick that will soon lead to your first cardiac event. Time is on your side, and compounding returns are in your favor.

5. Size

If you decide you want to own an ETF or stock, well then, you just buy it. You can enter or exit a position without impacting markets; you don't have to limit yourself to just the largest stocks or worry about position size (this is a huge thing for professionals). High-frequency traders are not trying to pick off your 100 or 1000 share order; you need not worry about dark pools and other such stuff.

And, there is no public scrutiny of your holdings and no disclosures required. You don't have to file with the SEC every time you decide to add or subtract from a position.